Passenger Transport

Government-Owned and Operated after Independence

The transport industry contributed Rs 9.1 lakh crore of the total GVA of Rs 171.4 lakh crore, at current prices, in 2018–19. This amounted to 5.3 per cent of total GVA. Road transport contributed GVA of Rs 5.31 lakh crore and Railways Rs 1.24 lakh crore, which made up roughly 59 per cent and 14 per cent of transport sector GVA. Road transport is the dominant transport sector in India.

The GVA contribution of the public sector in road transport amounted to Rs 0.37 lakh crore; in railways, it was Rs 1.24 lakh crore. The public-sector share in road transport came almost entirely from state transport undertakings (STUs). The share of all the STUs was less than 7 per cent of road transport GVA. The Railways had almost 100 per cent of GVA contributed by the public sector.

The current state of affairs of STUs and the Railways is very different from what was envisaged in the heydays of socialism and the public sector ‘controlling the commanding heights of the economy’.

For inexplicable reasons, India opted for government ownership and control of all public passenger transportation after Independence. The Railways was a Central government department while bus transport was decided to be established under the ownership and control of state governments, leading to the creation of STUs. Air passenger transport, which was under a private company, was nationalized soon after Independence. In due course, city bus services were also run and managed by government undertakings.

Some animal-driven vehicles (like *tongas*) and human-powered vehicles (like cycle-rickshaws) and motor-driven small city transport like auto-rickshaws were privately operated. Personal transport—cycles, scooters, motorcycles, cars—were, of course, privately owned and used. Almost all